ORDINANCE NO. 26-XX

AN ORDINANCE AMENDING CONCORD MUNICIPAL CODE TITLE 5 (BUSINESS LICENSES AND REGULATIONS) CHAPTER 5.05 (BUSINESS LICENSES) BY CHANGING THE EXISTING TIERED GROSS RECEIPTS BUSINESS LICENSE TAX RATES TO ONE-TENTH OF ONE PERCENT (0.1%) OF THE ANNUAL GROSS RECEIPTS DERIVED FROM CERTAIN BUSINESS ACTIVITY IN THE CITY OF CONCORD AND EXEMPTING FROM SUCH GROSS RECEIPTS TAX THOSE BUSINESSES HAVING ANNUAL GROSS RECEIPTS THAT DO NOT EXCEED $5,000

THE PEOPLE OF THE CITY OF CONCORD DO ORDAIN AS FOLLOWS:

Section 1. Concord Municipal Code Title 5 (Business Licenses and Regulations) Chapter 5.05 (Business Licenses), is hereby amended as shown by the strikeout and underlined language in Exhibit 1, attached hereto and incorporated by reference. This ordinance shall be referred to as the "Business License Tax Simplification Ballot Measure."

Section 2. Annual audit; citizens' oversight. By no later than December 31st of each year after the operative date hereof, the City's independent auditors shall complete a report reviewing the collection, management and expenditure of $2.9 million of the additional funds levied by the Business License Tax Simplification Ballot Measure. Members of the existing Measure V Oversight Committee (as established pursuant to Concord Municipal Code Section 3.15.490, and associated resolution, as amended from time to time) shall have the authority to review and report on the receipt of such revenue and expenditure thereof in the manner set forth in Concord Municipal Code Section 3.15.490.

Section 3. The voters of the City of Concord give the City Council of the City of Concord the power to amend any provision of Chapter 5.05 of Title 5 of the Concord Municipal Code, provided such amendment does not impose a new tax or increase or extend an existing tax, in which case such amendment must be approved by the City's electorate.

Section 4. This ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 *et seq.*, "CEQA," and 14 Cal. Code Reg. §§ 15000 *et seq.,* "CEQA Guidelines") including without limitation Public Resources Code section 21065, CEQA Guidelines

section 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the activity authorized herein may have a significant effect on the environment and pursuant to Public Resources Code section 21080(b)(8), and is statutorily exempt pursuant to CEQA Guidelines section 15273 as the approval of government revenues to fund existing services. The Business License Tax Simplification Ballot Measure to be submitted to the voters is a general tax that can be used for any legitimate governmental purpose; to enact it is not a commitment to any particular action. As such, under CEQA Guidelines Section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have such effect, the City would undertake the required CEQA review for that particular project. Therefore, under CEQA Guidelines Section 15060, review under CEQA is not required.

Section 5. If any provision of this ordinance or the application thereof to any person or circumstance is held invalid, it shall be severable and the remainder of the ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

Section 6. The City Council, by a _____ vote of the Council by adopting Resolution 26-XX, approved submission of the Business License Tax Simplification Ballot Measure to the voters at an election to be held on November 3, 2026. Upon approval by a majority of the voters of the City, and upon adoption of a resolution declaring the election results, the Mayor shall hereby be authorized to attest to the adoption of the Business License Tax Simplification Ballot Measure by the voters of the City by signing where indicated below.

_____
[Insert Name]
Mayor

ATTEST:

_____
Joelle Fockler, MMC
City Clerk

(Seal)

Ordinance No. 26-XX was submitted to the People of the City of Concord at the November 3, 2026, general municipal election. It was approved by the following vote of the People:

YES: _____

NO: _____

Ordinance No. 26-XX was thereby adopted by the voters of the City of Concord at the November 3, 2026, election and took effect immediately. A resolution declaring the results of the election was adopted at a regular meeting of the City Council held on December XX, 2026, by the following vote:

AYES: Councilmembers -

NOES: Councilmembers -

ABSTAIN: Councilmembers -

ABSENT: Councilmembers -

I HEREBY CERTIFY that the foregoing is a true and correct copy of an ordinance duly and regularly adopted by the People of the City of Concord, California.

_____
Joelle Fockler, MMC
City Clerk

Exhibit 1 - Redlined Changes to Concord Municipal Code Title 5 (Business Licenses and Regulations) Chapter 5.05 (Business Licenses)

Chapter 5.05

BUSINESS LICENSES

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Cross references: Business license for carnivals, circuses, fairs, and amusement places, § 5.40.190.

5.05.010 Definitions.

For purposes of this article, the following definitions shall apply:

Business. Includes professions, trades, and occupations and all and every kind of calling, whether or not carried on for profit.

Collector. The Finance Director or other city officer charged with the administration of this article.

Employee. All persons engaged in the operation or conduct of any business in the city, whether as owner, member of the owner's family, partner, employee, agent, manager, or solicitor, and any and all other persons working in said business. In addition, for the purpose of this article, "employee" shall be any person who works for and receives a

salary or wage from which deduction for federal withholding tax, state unemployment insurance, state disability insurance, or Federal Insurance ~~Compensation~~Contributions Act (FICA) funds have been withheld.

Gross receipts. Includes the total of amounts actually received or receivable from sales and the total amounts actually received or receivable for the performance of any act or service, of whatever nature it may be, for which a charge is made or credit allowed, whether or not such act or service is done as a part of or in connection with the sale of materials, goods, wares, or merchandise. Included in "gross receipts" shall be all receipts, cash, credits, and property of any kind or nature without deduction of the cost of the property sold, the cost of materials used, labor or service costs, interest paid or payable, or losses or other expenses whatsoever. Included as "gross receipts" shall be those moneys received by every person engaged in the business of renting commercial and/or industrial real property, whether improved or unimproved, as an owner leasing to another person or as a lessee or sublessee subleasing to another person. These moneys apply whether received from private individuals or government agencies. Excluded from "gross receipts" are the following:

(1) Cash discounts allowed and taken on sales;

(2) Credit allowed on property accepted as part of the purchase price and which property may later be sold;

(3) Any tax required by law to be included in or added to the purchase price and collected from the consumer or purchaser;

(4) Such part of the sale price of property returned by purchasers upon rescission of the contract of sale as is refunded either in cash or by credit;

(5) Amounts collected for others where the business is acting as an agent or trustee to the extent that such amounts are paid to those for whom collected, provided the agent or trustee furnishes the collector with the names and addresses of the others and the amounts paid to them;

(6) Receipts of refundable deposits, except that refundable deposits forfeited and taken into income of the business are not excluded;

(7) As to a real estate agent or broker, the sales price of real estate sold for the account of others, except that portion which represents commission, payment, or income to the agent or broker.

Person. Includes a person, individual, corporation, association, syndicate, joint stock corporation, partnership, club, group, business, or society, whether foreign or domestic, other than an employee.

Sale. Includes the transfer, in any manner or by any means whatsoever, of title to property for a consideration; the serving, supplying, or furnishing for a consideration of property; and a transaction whereby the possession of property is transferred and the seller retains title as security for the payment of the price. This definition does not exclude any transaction which results in a sale within the contemplation of law.

Solicitor. A person who travels by foot, wagon, vehicle, or other conveyance, from place to place, from house to house, or from street to street, taking or attempting to take orders for the sale of goods, or personal property of any kind, for future delivery, or for services to be furnished or performed in the future. "Solicitor" includes a person who hires, leases, uses, or occupies a building, structure, room, automotive vehicle, or other place within the city for the sole purpose of exhibiting samples and taking orders for future deliveries.

Sworn statement. An affidavit or a declaration or certification made under penalty of perjury.

Vendor. A person who sells, or offers to sell, any type of merchandise at any location other than a building or structure constructed on a permanent foundation which is rented, leased, or owned by that person. "Vendor" includes, but is not limited to, "hawker," "peddler," "street merchant," and "huckster."

(Code 1965, § 6100; Code 2002, § 18-31. Ord. No. 836; Ord. No. 1135; Ord. No. 85-30)

Cross references: Definitions generally, § 1.05.100.

5.05.020 Article intended as revenue measure.
This article is enacted solely to raise revenue for municipal purposes and is not intended for regulation. A stamp, signature, or other notation on approved plans, business license, or similar does not constitute a zoning clearance, administrative permit, minor use permit, use permit, or other regulatory approval.

(Code 1965, § 6101; Code 2002, § 18-32. Ord. No. 836; Ord. No. 16-9, § 3 (Exh. A))

5.05.030 Effect of article on other Code sections and ordinances.
Persons required to pay a license tax for transacting business under this article are not relieved or excused from the payment of any other license or tax that may be required under any other Code sections or ordinance of the city and shall remain subject to the regulatory provisions of other Code sections and ordinances.

(Code 1965, § 6102; Code 2002, § 18-33. Ord. No. 836)

5.05.040 License required.
(a) It shall be unlawful for any person, either for themselves or for any other person, to transact and carry on any business, trade, profession, calling, or occupation in the city without first having procured a license from ~~said~~the city ~~so~~ to do so and paying the tax ~~hereinafter~~ prescribed ~~or~~in this chapter and without complying with any and all applicable provisions of this article.

(b) In addition to being liable for the payment of the basic license fee, an additional premium of 50 percent of the basic fee or $25.00 maximum shall be due from any person who knowingly engages in business without first obtaining a business license. For failure to obtain a business license within 15 days of notice, the business shall be immediately subject to all the penalty provisions of section 5.05.230 of this article.

(Code 1965, § 6103; Code 2002, § 18-34. Ord. No. 836; Ord. No. 1135)

5.05.050 License tax imposed.
There are hereby imposed, upon the businesses, trades, professions, callings, and occupations specified in this article, license taxes in the amounts hereinafter prescribed.

(Code 1965, § 6104; Code 2002, § 18-35. Ord. No. 836)

5.05.060 Branch establishments.
(a) A separate license must be obtained for each branch establishment or location of the business transacted and carried on and for each separate type of business at the same location, and each license shall authorize the licensee to transact and carry on only the business licensed thereby at the location or in the manner designed in such license; provided that warehouses and distributing plants used in connection with and incidental to a business licensed under the provisions of this article shall not be deemed to be separate places of business or branch establishments.

(b) Any person conducting two or more types of businesses at the same location and under the same management, or at different locations, but which businesses use a single set or integrated set of books and records, may, at his option, pay only one tax calculated on all gross receipts of the businesses under the schedule that applies to the type of business of such person which requires the highest percentage payment on such gross receipts, except that a license fee of $25.00 for each additional branch or location shall be paid upon issuance.

(Code 1965, § 6105; Code 2002, § 18-36. Ord. No. 836)

5.05.070 Evidence of doing business.
When any person shall, by use of signs, circulars, cards, telephone book, or newspapers, advertise, hold out, or represent that he is in business in the city, or when any person holds an active license or permit issued by a governmental agency indicating that he is in business in the city, and such person fails to deny by a sworn statement given to the collector that he is not conducting a business in the city, after being requested to do so by the collector, then these facts shall be considered prima facie evidence that he is conducting a business in the city.

(Code 1965, § 6106; Code 2002, § 18-37. Ord. No. 836)

5.05.080 Constitutional apportionment of tax.

(a) None of the license taxes provided for by this article shall be so applied as to occasion an undue burden upon interstate commerce or be violative of the equal protection and due process clauses of the Constitutions of the United States and the state.

(b) In any case where a license tax is believed by a licensee or applicant for a license to place an undue burden upon interstate commerce or be violative of such constitutional clauses, he may apply to the collector for any adjustment of the tax. Such application may be made before, at, or within six months after payment of the prescribed license tax. The applicant shall, by sworn statement and supporting testimony, show the method of business and the gross volume or estimated gross volume of business and such other information as the collector may deem necessary in order to determine the extent, if any, of such undue burden or violation. The collector shall then conduct an investigation and, after having first obtained the written approval of the City Attorney, may fix as the license tax for the applicant a lesser amount that is reasonable and nondiscriminatory or, if the license tax has already been paid, may order a partial refund of the amount over and above the license tax so fixed. In fixing the license tax to be charged, the collector shall have the power to base the license tax upon a percentage of gross receipts or any other measure which will assure that the license tax assessed shall be uniform with that assessed on businesses of like nature, so long as the amount assessed does not exceed the license tax as prescribed by this article. Should the collector determine the gross receipts measure of license tax to be the proper basis, he may require the applicant to submit, either at the time of termination of the applicant's business in the city or at the end of each three-month period, a sworn statement of the gross receipts and pay the amount of the license tax therefor, provided that no additional license tax during any one calendar year shall be required after the licensee shall have paid an amount equal to the annual license tax as prescribed in this article.

(Code 1965, § 6107; Code 2002, § 18-38. Ord. No. 836)

5.05.090 Exemptions.

(a) Nothing in this article shall be deemed or construed to apply to any person transacting and carrying on any business exempt by virtue of the Constitution or applicable statutes of the United States or of the state from the payment of such taxes as are herein prescribed.

(b) Any person claiming an exemption pursuant to this section shall file a sworn statement with the collector stating the law and facts upon which exemption is claimed, and, in the absence of such statement substantiating the claim, such person shall be liable for the payment of the taxes imposed by this article.

(c) The collector shall, upon a proper showing contained in the sworn statement, issue a license to such person claiming exemption under this section without payment to the city of the license tax required by this article.

(d) The collector, after giving notice and a reasonable opportunity for hearing to a licensee, may revoke any license granted pursuant to the provisions of this section upon information that the licensee is not entitled to the exemption as provided herein.

(e) The following person(s) or individual(s) shall be exempt from paying a business license tax:

(1) ~~Full-time students under the age of 18 years having an~~A business having annual gross ~~income of less than $3,600.~~receipts that do not exceed $5,000.

~~(2) Senior citizens (age 62 and above) who engage in part-time work from their residence and whose annual gross income from this business is less than $3,600.~~

(~~3~~2) Veterans honorably discharged or honorably relieved from the armed forces of the United States and are residents of California and sole proprietor of the business, in accordance with California Business and Professions Code Section 16001.8, to the extent exempted by state law.

(~~4~~3) Operators of family day care homes (up to 14 children) where allowed by CMC Title 18, Development Code, and operating in compliance with Health and Safety Code Section ~~1597.40~~1596.78, to the extent exempted by state law.

(Code 1965, § 6108; Code 2002, § 18-39. Ord. No. 836; Ord. No. 1135; Ord. No. 24-6, § 8 (Exh. M))

5.05.100 Charitable and nonprofit organizations.

(a) Unless otherwise provided in this article, the following activities and organizations are exempt from payment of the license tax:

(1) The conducting, managing, or carrying on of any business, occupation, or activity from any institution or organization which is conducted, managed, or carried on wholly for the benefit of charitable purposes or from which profit is not derived, either directly or indirectly, by any individual, firm, or corporation;

(2) The conducting of any entertainment, concert, exhibition, or lecture on scientific, historical, literary, religious, or moral subjects, whenever all the receipts thereof are to be appropriated to any church or school or to any religious or benevolent purpose;

(3) The conducting of any entertainment, dance, concert, exhibition, or lecture by any religious, charitable, fraternal, educational, military, state, county, or municipal organization or association, whenever the receipts of such are to be appropriated for the purpose and objects for which such organization or association was formed and from which profit is not derived, either directly or indirectly, by any individual, firm, or corporation;

(4) A city-sponsored function where a fee is paid to the city for the right to participate as entries in the function shall be in lieu of any fee required to do business in the city and where the participation is by invitation of the city only. A city-sponsored function for purposes of this section is a function which is cultural or recreational in nature; provided, however, that this section does not apply to commercial food vendors who may participate or who may be asked to participate in the activity.

(b) In making a determination as to the exempt status of any organization or activity hereunder, the following criteria are to be considered by the collector:

(1) The organization or activity has received or has formally applied for tax-exempt status from the state Franchise Tax Board and Internal Revenue Service where applicable;

(2) The proposed activity will not be in conflict with any provisions of this Code, or state or federal law.

(c) For purposes of this section, “charitable” shall mean and include the words “patriotic,” “philanthropic,” “social service,” “welfare,” “benevolent,” “educational,” “civic,” or “fraternal,” either actual or purported. An activity defined as “religious” or a “religion” shall not mean and include the word “charitable” as herein defined but shall be given their commonly accepted definitions.

(Code 1965, § 6109; Code 2002, § 18-40. Ord. No. 836; Ord. No. 931)

5.05.110 Contents of license.

(a) Every person required to have a license under the provisions of this article shall make application as hereinafter prescribed to the collector of the city, and, upon the payment of the prescribed license tax, the collector shall issue to such person a license which shall contain the following information:

(1) The name of the person to whom the license is issued;

(2) The business licensed;

(3) The place where such business is to be conducted;

(4) The date of the expiration of such license; and

(5) Such other information as may be necessary for the enforcement of the provisions of this article.

(b) Whenever the tax imposed under the provisions of this article is measured by the number of vehicles, devices, machines, or other pieces of equipment used, or whenever the license tax is measured by the gross receipts from the operation of such items, the collector shall issue only one license, provided that he may issue for each tax period for

which the license tax has been paid one identification sticker, tag, plate, or symbol for each item included in the measure of the tax or used in a business where the tax is measured by the gross receipts from such items.

(Code 1965, § 6110; Code 2002, § 18-41. Ord. No. 836)

5.05.120 Application for first license.

(a) Upon a person making application for the first license to be issued hereunder or for a newly established business, such person shall furnish to the collector a sworn statement, upon a form provided by the collector, setting forth the following information:

(1) Name of the business;

(2) The exact nature or kind of business for which a license is requested;

(3) The place where such business is to be carried on, and if the same is not to be carried on at any permanent place of business, the places of the owner's residences;

(4) In the event that application is made for the issuance of a license to a person doing business under a fictitious name, in addition to the fictitious name, the application shall set forth the names and places of residence of those owning said business;

(5) In the event that the application is made for the issuance of a license to a corporation or a partnership, the application shall set forth the names and places of residence of the president and secretary of the corporation and the partners in the partnership;

(6) In all cases where the amount of license tax to be paid is measured by gross receipts, the application shall set forth such information as may be required or necessary to determine the amount of the license tax;

(7) Any further information which the collector may require to enable him to determine the tax and issue the license.

(b) If the amount of the license tax to be paid by the applicant is measured by gross receipts, he shall estimate the gross receipts for the period to be covered by the license. Such estimate, if accepted by the collector as reasonable, shall be used in determining the amount of license tax to be paid by the applicant, provided the amount of the license tax so determined shall be tentative only; and such person shall, within 30 days after the expiration of the period for which such license was issued and prior to the issuance of a renewal license, furnish the collector with a sworn statement, upon a form furnished by the collector, showing the gross receipts during the period of such license, and the license tax for such period shall be finally ascertained and paid in the manner provided by this article for the ascertaining and paying of renewal license taxes, after deducting from the payment found to be due, the amount paid based upon estimate of gross receipts, provided that, if the applicant has been in business for less than one year, the amount of his renewal license tax based on gross receipts shall be determined in the same manner as provided in this section 5.05.120.

(c) Failure to pay the required license tax or to furnish statements as herein required shall be sufficient grounds for the collector to refuse issuance of a license for the same or any other business.

(Code 1965, § 6111; Code 2002, § 18-42. Ord. No. 836)

5.05.130 Application for renewal license.

In all cases for the renewal of a license, the applicant shall submit to the collector a sworn statement, upon a form to be provided by the collector, setting forth such information concerning the applicant's business during the preceding year as may be required by the collector to enable him to ascertain the amount of the license tax to be paid by said applicant. Where the business license tax is based on gross receipts, the amount to be paid shall encompass applicant's gross receipts from said business for the calendar year next preceding the date of his renewal application.

(Code 1965, § 6112; Code 2002, § 18-43. Ord. No. 836)

5.05.140 Verification of statements and records.

(a) No statements shall be conclusive as to the matters set forth therein, nor shall the filing of the same preclude the city from collecting by appropriate action such sum as is actually due and payable hereunder. Such statement and each of the several items therein contained shall be subject to audit and verification by the collector, his deputies, or authorized employees of the city, who are hereby authorized to examine, audit, and inspect such book and records of any licensee or applicant for license as may be necessary in their judgment to verify or ascertain the amount of license fee due.

(b) All persons subject to the provisions of this article shall keep complete records of business transactions, including sales, receipts, purchases, and other expenditures, and shall retain all such records for examination by the collector. Such records shall be maintained for a period of at least three years. Refusal to allow authorized representatives of the collector to examine required records at reasonable times and places shall be sufficient grounds to refuse issuance of a license as herein provided.

(Code 1965, § 6113; Code 2002, § 18-44. Ord. No. 836)

5.05.150 Confidentiality of information.

It shall be unlawful for the collector or any person having an administrative duty under the provisions of this article to make known in any manner whatever the business affairs, operations, or information obtained by an investigation of records and equipment of any person required to obtain a license or pay a license tax, or any other person visited or examined in the discharge of official duty, or the amount or source of income, profits, losses, expenditures, or any particular thereof, set forth in any statement or application, or to permit any statement or application, or copy of either, or any book containing any abstract or particulars thereof to be seen or examined by any person. Provided that nothing in this section shall be construed to prevent:

(1) The disclosure to, or the examination of records and equipment by, another city official, employee, or agent for collection of taxes for the sole purpose of administering or enforcing any provisions of this article or collecting taxes imposed hereunder;

(2) The disclosure of information to, or the examination of records by, federal or state officials or the tax officials of another city or county or city and county, if a reciprocal arrangement exists, or to a grand jury or court of law upon subpoena;

(3) The disclosure of information and results of examination of records of particular taxpayers, or relating to particular taxpayers, to a court of law in a proceeding brought to determine the existence or amount of any license tax liability of the particular taxpayers to the city;

(4) The disclosure, after the filing of a written request to that effect, to the taxpayer himself, or to his successors, receivers, trustees, executors, administrators, assignees, and guarantors, if directly interested, of information as to the items included in the measure of any paid tax, any unpaid tax or amounts of tax required to be collected, interest and penalties; further provided, however, that the City Attorney approves each such disclosure and that the collector may refuse to make any disclosure referred to in this paragraph when in his opinion the public interest would suffer thereby;

(5) The disclosure of the names and addresses of persons to whom licenses have been issued and the general type or nature of their business;

(6) The disclosure by way of public meeting or otherwise of such information as may be necessary to the City Council in order to permit it to be fully advised as to the facts when a taxpayer files a claim for refund of license taxes, or submits an offer of compromise with regard to a claim asserted against him by the city for license taxes, or when acting upon any other matter;

(7) The disclosure of general statistics regarding taxes collected or business done in the city;

(8) Any other disclosure required by law.

(Code 1965, § 6114; Code 2002, § 18-45. Ord. No. 836)

5.05.160 Failure to file statement or corrected statement.
(a) If any person fails to file any required statement within the time prescribed, or if after demand therefor made by the collector he fails to file a corrected statement, or if any person subject to the tax imposed by this article fails to apply for a license, the collector may determine the amount of license tax due from such person by means of such information as he may be able to obtain.

(b) If the collector is not satisfied with the information supplied in statements or applications filed, he may determine the amount of any license tax due by means of any information he may be able to obtain.

(c) If such a determination is made, the collector shall give a notice of the amount so assessed by serving it personally or by depositing it in the United States Post Office at Concord, California, postage prepaid, addressed to the person so assessed at his last known address. Such person may, within 15 days after the mailing or serving of such notice, make application, in writing, to the collector for a hearing on the amount of the license tax. If such application is made, the collector shall, within 15 days, cause the matter to be set for hearing before the City Council. The collector shall give at least ten days' notice to such person of the time and place of hearing in the manner prescribed above for serving notices of assessment. The Council shall consider all evidence produced and shall make findings thereon, which shall be final. Notice of such findings shall be served upon the applicant in the manner prescribed above for serving notices of assessment.

(Code 1965, § 6115; Code 2002, § 18-46. Ord. No. 836)

5.05.170 Appeal.
Any person aggrieved by any decision of the collector with respect to the issuance or refusal to issue such license may appeal to the City Council in accordance with section 2.05.050 of this Code.

(Code 1965, § 6116; Code 2002, § 18-47. Ord. No. 836)

5.05.180 Authority of collector to extend time for filing.
In addition to all other authority conferred upon him, the collector may, for good cause shown, extend the time for filing any required sworn statement or application for a period not exceeding 30 days and in such case to waive any penalty that would otherwise have accrued, except that seven percent simple interest shall be added to any tax determined to be due and payable.

(Code 1965, § 6117; Code 2002, § 18-48. Ord. No. 836)

5.05.190 Transfer of license: change of location or ownership of business.
(a) Except as otherwise provided herein, no license issued pursuant to this article shall be transferable from person to person; provided that, where a license is issued authorizing a person to transact and carry on a business at a particular place, such licensee may, upon application therefor and paying a fee of $5.00, have the license amended to authorize the transacting and carrying on of such business under said license at some other location of the licensee's business. Provided further that transfer, whether by sale or otherwise, to another person under such circumstances that the real or ultimate ownership after the transfer is substantially similar to the ownership existing before the transfer, shall not be prohibited by this section. For the purpose of this section, stockholders, bondholders, partnerships, or other persons holding an interest in a corporation or other entity herein defined to be a person are regarded as having the real or ultimate ownership of such corporation or other entity.

(b) Any business license issued pursuant to this article is transferable to a new owner(s) provided the following remain identical after the transfer:

(1) Name of business;

(2) The business location; and

(3) The nature of the business conducted.

(c) A business license transfer fee in the amount of $12.00 shall be paid before any business license can be transferred in accordance with this section.

(d) In addition, where a license is issued authorizing a person to transact and carry on a business at a particular place, such licensee may, upon application therefor and paying a fee of $5.00, have the license amended to authorize the transacting and carrying on of such business under said license at some other location of licensee's business.

(Code 1965, § 6118; Code 2002, § 18-49. Ord. No. 836; Ord. No. 1135)

5.05.200 Duplicate license.
It shall be the responsibility of the business to replace any license previously issued hereunder which has been lost or destroyed upon the licensee filing a statement of such fact with the collector and at the time of filing such statement paying to the collector a duplicate license fee of $5.00.

(Code 1965, § 6119; Code 2002, § 18-50. Ord. No. 836; Ord. No. 1135)

5.05.210 Posting and keeping licenses.
(a) Any licensee transacting and carrying on business at a fixed place of business in the city shall keep the license posted in a conspicuous place upon the premises where such business is carried on.

(b) Any licensee transacting and carrying on business but not operating at a fixed place of business in the city shall keep the license upon his person at all times while transacting and carrying on the business for which it is issued.

(c) Whenever identifying stickers, tags, plates, or symbols have been issued for a vehicle, device, machine, or other piece of equipment included in the measure of a license tax, the person to whom issued shall keep them firmly affixed upon such equipment at such locations as are designated by the collector. Such sticker, tag, plate, or symbol shall not be removed during the period for which it is issued.

(d) No person shall give away, sell, or transfer such identifying sticker, tag, plate, or symbol to another person or to permit its use by another person.

(Code 1965, § 6120; Code 2002, § 18-51. Ord. No. 836)

5.05.220 Due date for payment of tax.
(a) When a person first begins transacting or carrying on a business in the city, the tax imposed by this article is due within 30 days thereof and is delinquent on the 31st day thereof if not paid.

(b) Unless otherwise specifically provided herein, all annual license taxes payable hereunder shall be due on January 1 and payable no later than January 31 of each year. License taxes covering new businesses commenced after January 1 shall be assessed an annual license tax commencing from the date the license is issued. For the purpose of determining the date of renewal, the business license tax shall be applied at the start of the next succeeding month of the renewal year. Said month shall be the annual renewal date each year thereafter. For example, for a business enterprise commencing business as of January 15, the renewal date will be February 1 of the next year.

(~~b~~c) Except as otherwise herein provided, license taxes, other than annual, required hereunder, shall be due and payable as follows:

(1) Daily flat rate license tax paid prior to beginning work;

(2) Other flat rate license taxes are payable prior to beginning work for the applicable period; and

(3) Contractors not having a permanent Concord location may pay the license tax on an annual basis or for a six-month period beginning on the day when the license is issued. Such contractors shall be eligible for renewal for an additional six-month period upon paying the applicable tax as provided in this article.

(Code 1965, § 6121; Code 2002, § 18-52. Ord. No. 836; Ord. No. 1135; Ord. No. 98-1)

5.05.230 Delinquent taxes; penalty and interest for late payment.
(a) All licenses, unless otherwise specifically provided in section 5.05.220, are issued on a calendar-year basis and expire the last day of the calendar year (December 31) to which they apply. Payment for renewal of an expired calendar-year license is due no later than January 1.

(b) For those licenses which are issued on an annual basis after January 1 of a given year, payment shall be due no later than the first day of the month following the month in which the license was first issued. For example, if a new business enterprise was issued a business license on January 15, the license would expire on January 31 of the following year. The payment due on the renewal date would be February 1 of that year and each year thereafter.

(c) A penalty of 20 percent will be added to any license fee that is not paid by the last day of the month in which it came due. An additional 20 percent will be added on the last day of each additional month the fee remains unpaid, but in no case will the penalty exceed 50 percent of the amount of the license tax due. In addition to any penalties imposed, any person who fails to remit any tax imposed by this article shall pay interest at the rate of one and one half percent per month, or fraction thereof, on the delinquent amount, inclusive of penalties, from the date on which the remittance first became delinquent, until paid.

(d) Where the final due date for a license falls on a weekend or a holiday, the non-penalty period may be extended to include the next city working day. For payment sent through the mail, a postmark on the working day is sufficient to avoid the penalty.

(e) Upon documented evidence of an existing hardship that caused delay in payment of the license tax fee, and where there is a previous history of prompt payment, the collector may waive all penalties that would otherwise have accrued as a result of a failure to pay a license tax when due. In such cases, seven percent simple interest shall be added to any tax determined to be due and payable calculated from the day the penalty would have been assessed until the date of actual payment of the license tax.

(Code 1965, § 6122; Code 2002, § 18-53. Ord. No. 836; Ord. No. 1135; Ord. No. 89-1; Ord. No. 98-1)

5.05.240 License tax a debt.
The license tax and penalty is a debt to the city. The city may bring an action to collect the debt.

(Code 1965, § 6123; Code 2002, § 18-54. Ord. No. 836)

5.05.250 Refunds of overpayment of tax.
No refund of an overpayment of taxes imposed by this article shall be allowed in whole or in part unless a claim for refund is filed with the collector within a period of one year from the ~~last day of the calendar month following the period for which the overpayment was made~~date of payment of the tax, and all such claims for refund of the amount of the overpayment must be filed with the collector, on forms furnished by him, and in the manner prescribed by him. Upon the filing of such a claim and when he determines that an overpayment has been made, the collector may refund the amount overpaid.

(Code 1965, § 6124; Code 2002, § 18-55. Ord. No. 836; Ord. No. 03-5)

5.05.260 Gross receipts tax schedule.
Unless otherwise provided under this ~~section~~chapter (alternatively referred to as this "article"), every person who engages in business ~~at a fixed place of business~~ within the city shall pay a license tax based upon gross receipts at the following rates:

~~**GROSS RECEIPTS SCHEDULE**~~

~~(1) *Computation methods.* The sum of the tax computed as follows:~~

~~TABLE INSET:~~

~~Gross Receipts (in dollars)~~	~~_~~	~~Tax (mil per dollar)~~
~~First 0 to 25,000~~	~~at~~	~~1.00~~
~~Next 25,000 to 75,000~~	~~at~~	~~0.90~~

~~Gross Receipts (in dollars)~~	~~_~~	~~Tax (mil per dollar)~~
~~Next 75,000 to 150,000~~	~~at~~	~~0.85~~
~~Next 150,000 to 250,000~~	~~at~~	~~0.80~~
~~Next 250,000 to 500,000~~	~~at~~	~~0.75~~
~~Next 500,000 to 1,000,000~~	~~at~~	~~0.70~~
~~Next 1,000,000 to 2,500,000~~	~~at~~	~~0.65~~
~~Next 2,500,000 to 5,000,000~~	~~at~~	~~0.60~~
~~Next 5,000,000 to 7,500,000~~	~~at~~	~~0.50~~
~~Over 7,500,000~~	~~at~~	~~0.30~~

(1) *Gross Receipts, Generally*. Unless otherwise provided under this chapter, one-tenth of one percent (0.1%) of the annual gross receipts, subject to a ~~Minimum~~minimum tax ~~under gross receipts schedule:~~of $25.00, with such $25.00 amount subject to CPI increases as set forth in section 5.05.290.

(2) *Retail/wholesale.* Same as gross receipts ~~schedule~~set forth in section 5.05.260 (1) above.

(3) *Manufacturing.* The sum of the following:

$11.35 per employee for the first 10.

$113.50 per employee for the next 20, plus $8.83 each over 10.

$290.10 per employee to next 20, plus $6.28 each over 30.

$415.70 per employee to next 50, plus $5.02 each over 50.

$666.70 per employee thereafter, plus $3.77 each over 100.

(4) *Professions and trades.* $126.46, plus $94.84 for each associate and $18.95 for each employee. The annual business license fees provided under this part apply to the following professions and trades, or for any other professional or trade person not listed:

Accountant.

Auditor.

Appraiser.

Architect.

Artist.

Assayer.

Attorney.

Attorney, patent.

Advertising counsel.

Bacteriologist.

Blueprinter.

Chemist.

Certified public accountant.

Chiropodist.

Chiropractor.

Collection agency.

Credit reporting bureau.

Civil engineer.

Electrical, mining, construction, structural, consulting, mechanical, and hydraulic engineers.

Dentist.

Designer or decorator.

Draftsman.

Drugless practitioner.

Electrologist.

Engraver.

Feed, grain, and fruit broker.

Geologist.

Illustrator or show card writer.

Insurance or claims adjuster.

Landscape gardener or architect.

Lapidary.

Lithographer.

Masseuse.

Money lender or broker or selling obligations.

Mercantile agency.

Oculist.

Optician.

Optometrist.

Osteopath.

Physician.

Real estate broker.

Sign painter.

Surgeon.

Surveyor.

Taxidermist.

Veterinarian.

X-ray laboratory.

(5) *Apartments, hotels, and motels.* A four-unit minimum rate of $31.59; five units and above taxable at $6.28 per unit.

(6) *Businesses without a fixed place of business within the city and public utilities.* The sum of the following:

$11.35 per employee for the first 10.

$113.50 per employee for the next 20, plus $8.83 each over 10.

$290.10 per employee to next 20, plus $6.28 each over 30.

$415.70 per employee to next 50, plus $5.02 each over 50.

$666.70 per employee thereafter, plus $3.77 each over 100.

Minimum fee: $37.92.

Every person who engages in a business that is not a fixed place of business within the city as provided under section 5.05.260 herein shall be grouped and included under this part for purposes of determining the business license tax due.

Any public utility possessing a franchise granted by the city and making an annual payment under said franchise shall be entitled to a credit in the amount of such payment against the business license tax payable herein and the minimum fee shall be waived.

(7) *Contractors.*

Less than $204,000.00 gross in city for previous year: $88.52 per year or $63.23 per half year, expiring June 30 and December 31.

Over $204,000.00 gross in city for previous year: use gross receipts schedule.

(8) *Amusement.* Gross receipts schedule above, except as noted below:

TABLE INSET:

Billiard and pool rooms	$37.92 for first table
$18.95 for each additional table	
Bowling alleys	$25.28 per alley
Circus	$252.92 per day
Carnivals	$252.92 per day

Boxing and wrestling exhibitions	Less than 500 seats: $63.23
Over 500 seats: $126.46	
Nightclubs	$126.46 per year
Dancehall	$126.46 per year

(Code 1965, § 6125; Code 2002, § 18-56. Ord. No. 17; Ord. No. 836; Ord. No. 844; Ord. No. 1135; Ord. No. 89-1)

5.05.270 Flat rate tax schedule.
Every person transacting and carrying on the businesses herein enumerated shall pay a license tax as follows:

TABLE INSET:

Auctioneers	$100.00
Fire sales	$100.00 per day
Itinerant merchant or trader	$50.00 per day; $200.00 per quarter
Vendor	$100.00 per year or $10.00 per day
Solicitors	$50.00 per year or $5.00 per day
Book agents	$50.00 per year or $10.00 per day

(Code 1965, § 6126; Code 2002, § 18-57. Ord. No. 836; Ord. No. 85-30)

5.05.280 Reduction of tax for carnivals and similar shows; tax on craft fairs and flea markets.
(a) *Definitions.*

Carnival. Includes circuses, fairs, tent shows, exhibits, games of skill, rides, and devices.

Professional carnival operator. Any person, partnership, corporation, or firm whose business is the carrying on of a carnival.

(b) *Reduction of fee.* Upon written application, the City Manager may reduce the business license fee for a carnival which is conducted by a professional carnival operator to $152.92 per day upon presentation to the City Manager of proof satisfactory to him that:

(1) Such carnival is an incidental part of an overall business promotion activity conducted by an organized group of merchants licensed to do business within the city; or

(2) Such activity is sponsored by a tax-exempt, religious, charitable, fraternal, veterans, or educational organization or association, or a school student body group for purposes of raising funds for such organization, association, or group; and if the proceeds received by the sponsoring tax-exempt organization, association, or group are used entirely for the purposes and objectives for which such organization, association, or group was formed.

The application for a reduced license fee shall be accompanied by a confirmed copy of the agreement or contract between the carnival operator and the sponsoring organization, showing the agreement of the parties thereto regarding division of the proceeds to be derived from operation of the amusement activity. The City Manager may consider said agreement or contract in determining whether the license fee for the amusement activity may be reduced.

(c) *Waiver of fee.* Upon written application, the City Manager may waive the business license fee for an amusement activity which is sponsored or conducted by a tax-exempt, religious, charitable, fraternal, veterans, or education

organization or association, or by a student body group if the organization, association, or group does not employ the services of a professional carnival operator to conduct the amusement activity.

(d) *Appeal.*

(1) Any person aggrieved by the action of the City Manager in approving or denying an application for a reduction or an exemption from the business license fee to be imposed under this section may appeal to the City Council in accordance with section 2.05.050 of this Code.

(2) Said appeal shall be by written notice directed to the City Clerk within ten days of the action from which the appeal is taken. The City Clerk shall set a hearing on the appeal within 15 days and, at least five days prior to hearing, mail notice of hearing to the appellant. The City Council may continue the hearing as convenience and justice dictate and may affirm, modify, or rescind the action of the City Manager.

(e) *Craft fairs/flea markets.* The business license fee applicable to the business of a flea market, penny market, swap meet or market, art fair, craft fair, and other similar business where persons rent spaces, stalls, or designated places for the purpose of selling, trading, or displaying new and/or used merchandise is $50.00, plus $4.50 for each space or stall. The fee is computed in accordance with the following terms and conditions:

(1) The number of stalls shall be the maximum number occupied, as estimated by the owners/operators;

(2) The number of occupied stalls and the fee paid are subject to audit and fee adjustment, if necessary;

(3) A separate fee is required for each individual market, fair, etc. Notwithstanding the foregoing, only one fee shall be required of markets, fairs, etc., which are held on a recurring basis on private property owned or leased by the operator of the market, fair, etc. The fee for such recurring events shall be payable annually for all occurrences in a calendar year;

(4) Fees are not subject to proration.

(Code 1965, § 6127; Code 2002, § 18-58. Ord. No. 836; Ord. No. 89-1; Ord. No. 845; Ord. No. 84-19)

5.05.290 Annual tax rate escalation.
All license taxes determined by other than the gross receipts method will be adjusted from year to year to reflect the percent change in the Consumer Price Index as follows: The 1967-69 Consumer Price Index as published by the U.S. Department of Labor, Bureau of Labor Statistics, for San Francisco for the quarter ending September 30, 1978, shall be used as the base year. Each year the rate of change expressed as a percentage will be determined from the next preceding 12 months beginning September 1. This percentage shall be applied to the business license taxes commencing on January 1 of the following year.

(Code 1965, § 6128; Code 2002, § 18-59. Ord. No. 1135; Ord. No. 98-1)

5.05.300 Authority to make additional rules and regulations.
The collector may make rules and regulations not inconsistent with the provisions of this article as may be necessary or desirable to aid in carrying out the provisions of this article.

(Code 1965, § 6130; Code 2002, § 18-60. Ord. No. 836; Ord. No. 1135)

5.05.310 Enforcement.
(a) It shall be the duty of the collector and the city's Business License and Permit Agent, and they are hereby authorized and directed, to enforce each and all of the provisions of this article, and the Chief of Police shall render such assistance in the enforcement hereof as may from time to time be required herein. The collector and the city's Business License and Permit Agent are hereby authorized to issue infraction citations for any violations of the provisions of this article.

(b) The collector, in the exercise of the duties imposed upon him hereunder, and acting through his deputies or duly authorized assistants, shall examine or cause to be examined all places of business in the city to ascertain whether the provisions of this article have been complied with.

(c) Any person licensed as herein provided and having such license in his possession or under his control, who willfully fails to exhibit the same on demand, shall be guilty of an infraction and subject to the penalties as in this Code are provided.

(Code 1965, § 6131; Code 2002, § 18-61. Ord. No. 836; Ord. No. 936; Ord. No. 1135)

5.05.320 Remedies cumulative.
All remedies prescribed hereunder shall be cumulative and the use of one or more remedies by the city shall not bar the use of any other remedy for the purpose of enforcing the provisions hereof.

(Code 1965, § 6132; Code 2002, § 18-62. Ord. No. 836; Ord. No. 1135)

5.05.330 Penalty for violations.
Any person violating any of the provisions of this article or knowingly or intentionally misrepresenting to any officer or employee of this city any material fact in procuring the license or permit herein provided for shall be deemed guilty of an infraction and, upon conviction thereof, shall be punishable as provided in section 1.05.220 of this Code.

(Code 1965, § 6133; Code 2002, § 18-63. Ord. No. 836; Ord. No. 1135; Ord. No. 98-1)

5.05.340 Severability.
It is intended by this article that the city is not increasing the business license tax but is only changing the timing in which such tax is paid and, therefore, need not be submitted to the electorate and approved by a majority vote. If any section, subsection, sentence, clause, phrase, or portion of this article is for any reason held to be invalid or unconstitutional by the decision of a court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this article. Furthermore, if it is determined by a court of competent jurisdiction that the amendment to this article constitutes an increase in the business tax requiring it to be submitted to the electorate and approved by majority vote, the original provisions of this article shall remain in full force and effect.

(Code 1965, § 6134; Code 2002, § 18-64. Ord. No. 836; Ord. No. 1135; Ord. No. 98-1)

5.05.350 Effective date of tax.
The annual license taxes imposed hereunder shall be effective January 1, 1971, and year to year thereafter until further amendment of this article.

(Code 1965, § 6135; Code 2002, § 18-65. Ord. No. 836; Ord. No. 1135)